option. But there was always the risk of the excess liquidity leading to the mispricing of risk and threatening financial stability. And now that the fire is out, QE is also being criticized for accentuating inequality and for taxing prudent savers in order to bail out reckless borrowers. It is unlikely that these concerns would have escaped the Fed policymakers as they embraced QE. By taking the plunge though, they presumably calculated that the immediate concerns of stabilizing the markets and stimulating demand outweighed the longer-term threats.

A second lesson to be drawn from the crisis pertains to communication. Mere words can have a miraculous effect in a crisis. For example, it is now widely held that the unconventional monetary policy of the Fed would not have been effective if it were not accompanied by the repeated assurance that the ultra-easy monetary stance would be maintained over an ‘extended period of time’.

At home too, I realized that once I gave up my early reticence and took to active communication, it did a lot to restoring market confidence. I got feedback, for example, that even as we took a host of measures all through October–December 2008, there was always a lingering anxiety in the market that the Reserve Bank had not come out of the inflation-control mindset, was clearly uncomfortable with all the monetary easing under way and would clamp down at the earliest. If those expectations got anchored, it would have undermined the effectiveness of all the unconventional measures we were instituting. I took the opportunity of the media conference on 6 December 2008 to emphasize that inflation had fallen sharply owing to a crash in oil prices as well as demand recession at home. My intent was to regain control of the narrative and credibly convey to the markets that inflation had receded as an immediate concern and that they were misguided in thinking that the rollback of the accommodative stance was around the corner. The reassurance comforted investors enough for them to make long-term plans.

Reassuring markets is half the battle but there is also a dilemma there for central banks. How much do they reveal and what do they hold back? There is typically an information asymmetry between central banks and the